# Apple Inc.

(AAPL)

## Investment Thesis

Current Price: $264.72

Market Cap: $3,890.8B

Sector: Technology

Industry: Consumer Electronics

Date: March 02, 2026

## 1. Business Description

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple branded and third-party accessories. It also provides AppleCare support and cloud services; and operates various platforms, including the App Store that allow customers to discover and download applications and digital content, such as books, music, video, games, and podcasts, as well as advertising services include third-party licensing arrangements and its own advertising platforms. In addition, the company offers various subscription-based services, such as Apple Arcade, a game subscription service; Apple Fitness+, a personalized fitness service; Apple Music, which offers users a curated listening experience with on-demand radio stations; Apple News+, a subscription news and magazine service; Apple TV, which offers exclusive original content and live sports; Apple Card, a co-branded credit card; and Apple Pay, a cashless payment service, as well as licenses its intellectual property. The company serves consumers, and small and mid-sized businesses; and the education, enterprise, and government markets. It distributes third-party applications for its products through the App Store. The company also sells its products through its retail and online stores, and direct sales force; and third-party cellular network carriers and resellers. The company was formerly known as Apple Computer, Inc. and changed its name to Apple Inc. in January 2007. Apple Inc. was founded in 1976 and is headquartered in Cupertino, California.

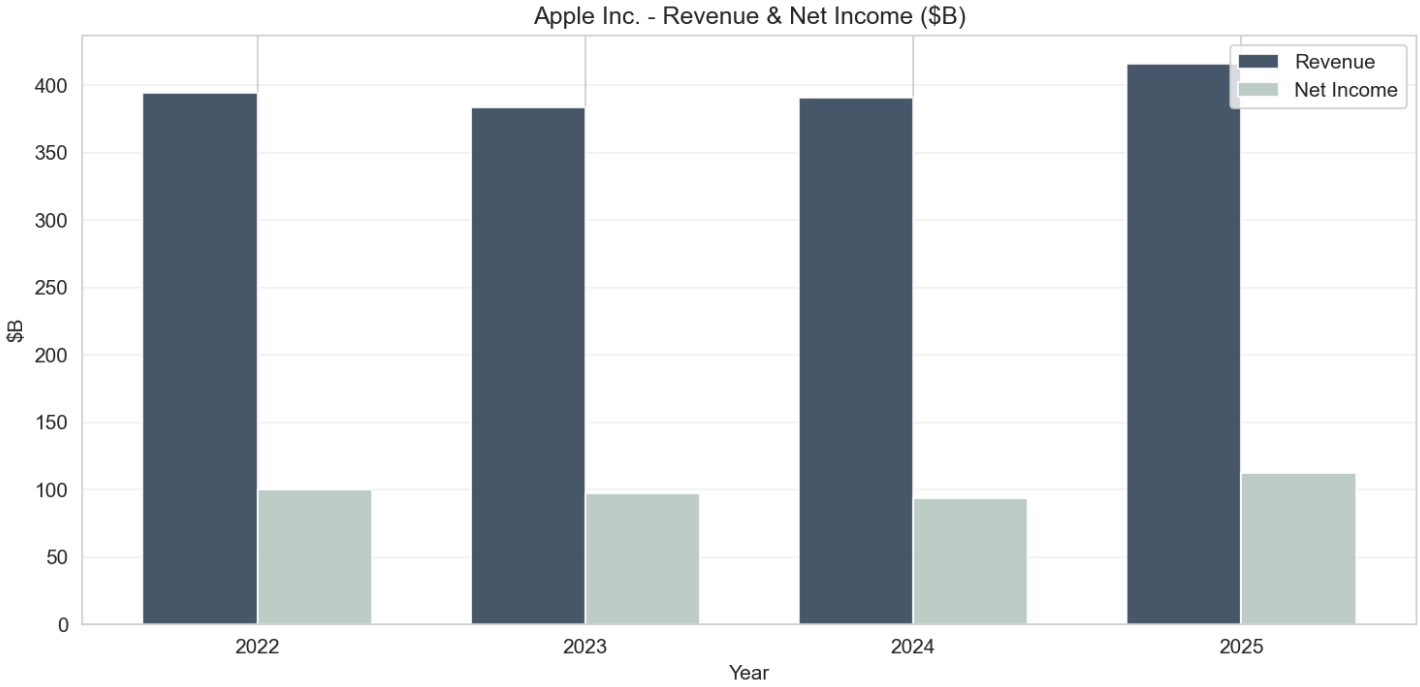
## Key Metrics

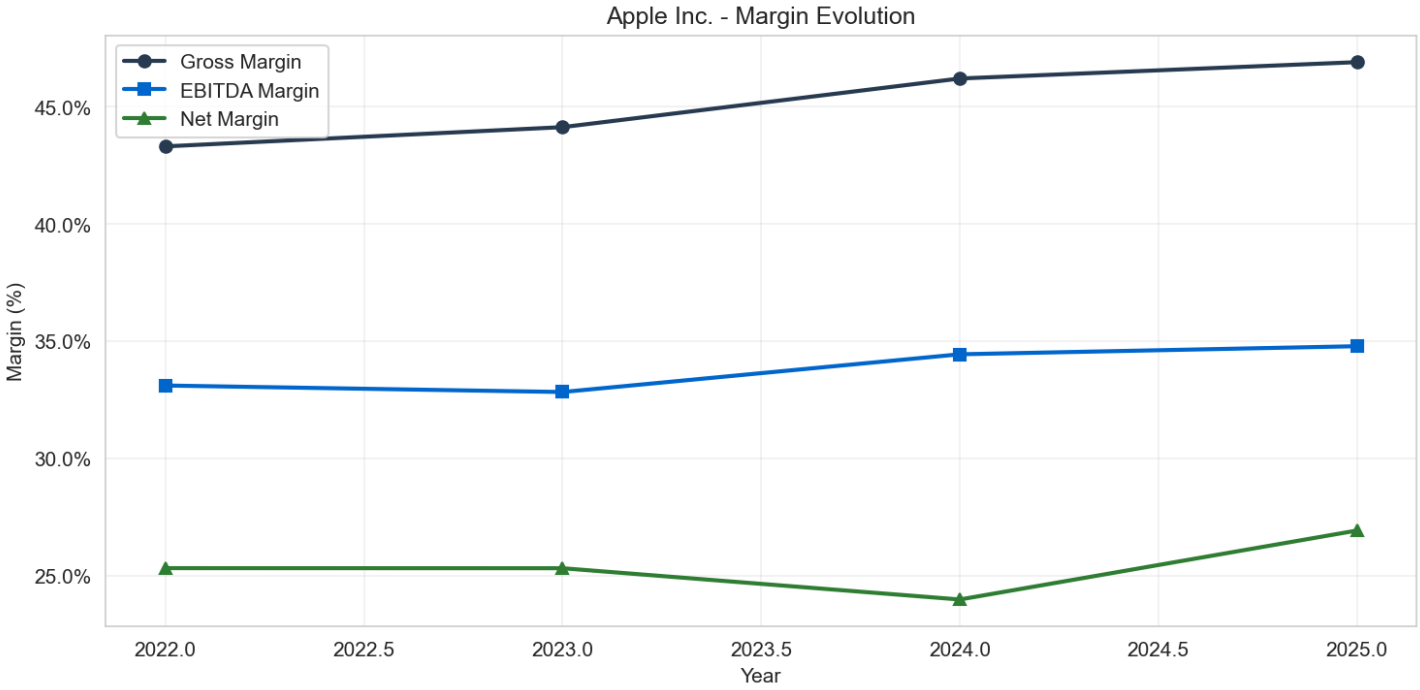
| | | | |
|---|---|---|---|
| Market Cap | $3,890.8B | Enterprise Value | $3,902.1B |
| P/E Ratio (TTM) | 33.5x | Forward P/E | 28.5x |
| EV/EBITDA | 25.5x | Revenue Growth | 15.7% |
| Gross Margin | 47.3% | Operating Margin | 35.4% |
| Net Margin | 27.0% | Beta | 1.11 |
| Dividend Yield | 0.39% | 52W High | $288.62 |
| 52W Low | $169.21 | | |

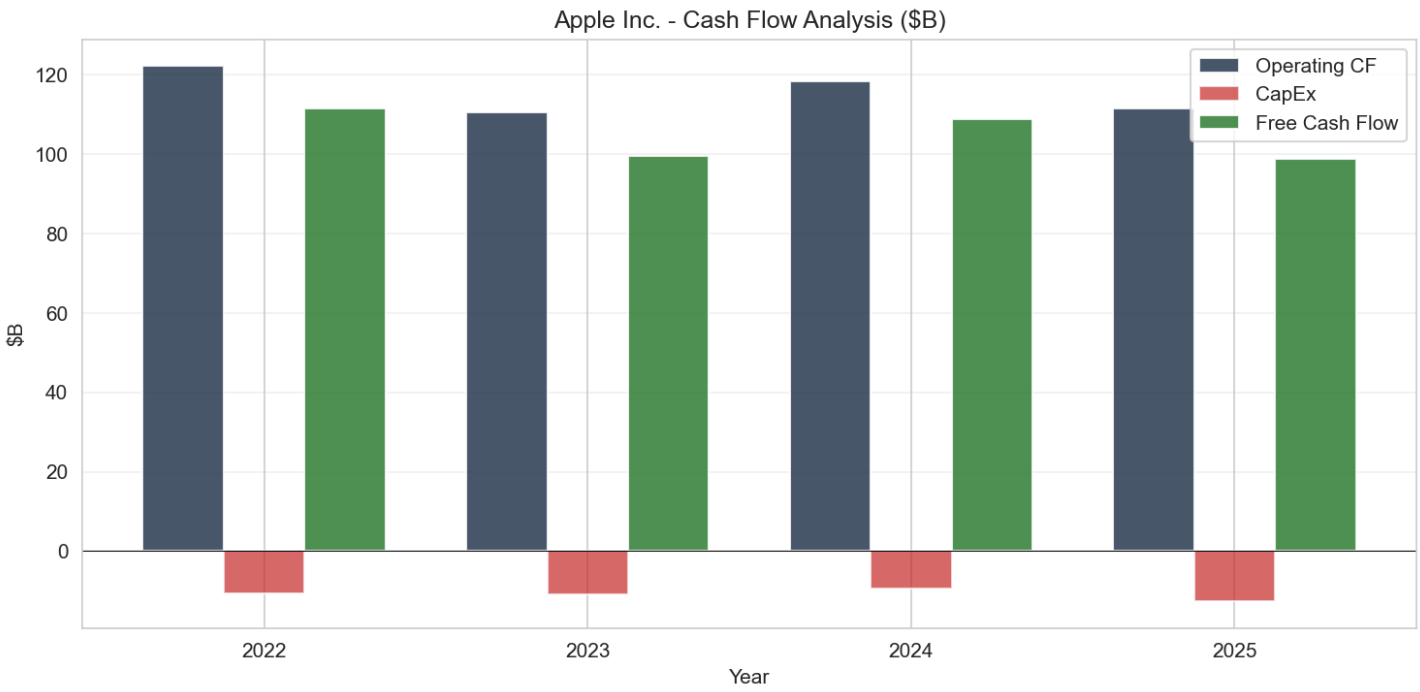
## 2. Financial Summary (Last 3 Years)

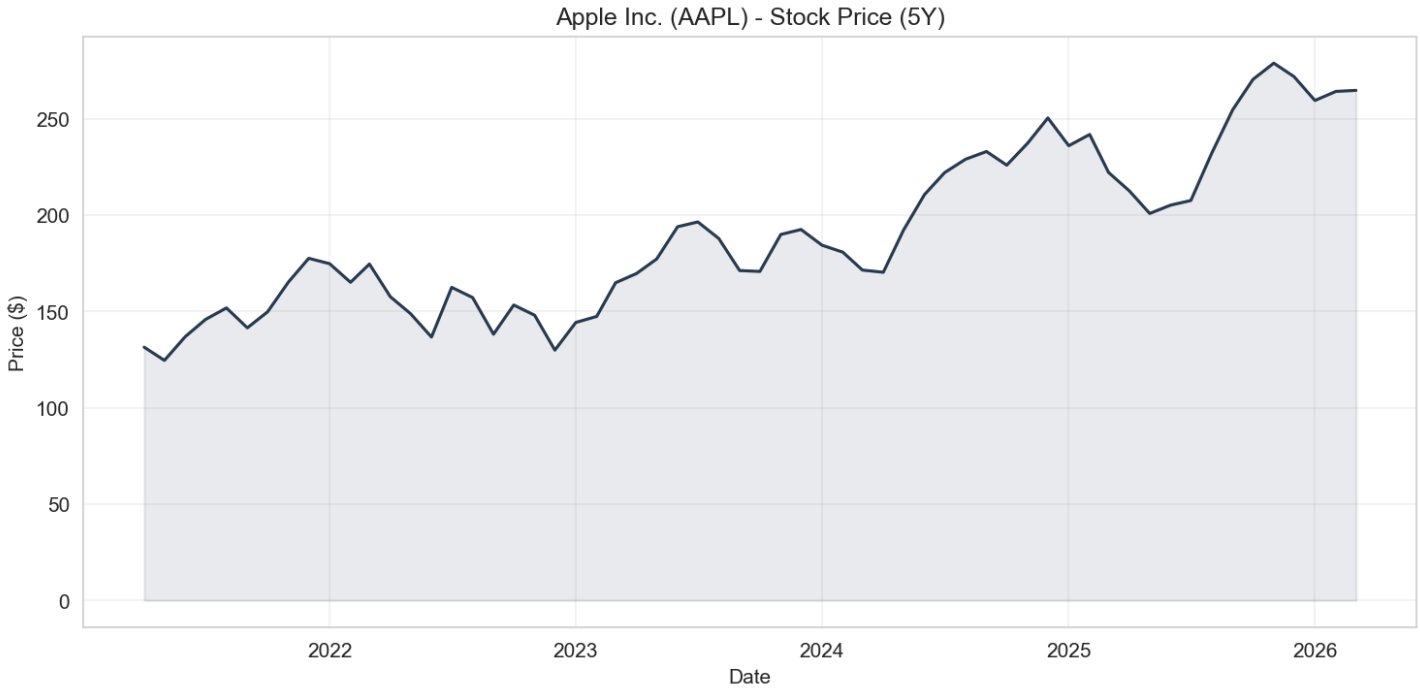
| Metric ($M) | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| Revenue | 383,285 | 391,035 | 416,161 |
| Gross Profit | 169,148 | 180,683 | 195,201 |
| Operating Income | 114,301 | 123,216 | 133,050 |
| Net Income | 96,995 | 93,736 | 112,010 |
| EBITDA | 125,820 | 134,661 | 144,748 |
| Free Cash Flow | 99,584 | 108,807 | 98,767 |
| Total Assets | 352,583 | 364,980 | 359,241 |
| Total Debt | 111,088 | 106,629 | 98,657 |
| Total Equity | 62,146 | 56,950 | 73,733 |

## 3. Financial Charts




Apple Inc. - Cash Flow Analysis ($B)
Operating CF
CapEx
Free Cash Flow
$B
120
100
80
60
40
20
0
2022
2023
2024
2025
Year


Apple Inc. (AAPL) - Stock Price (5Y)
Price ($)
250
200
150
100
50
0
2022
2023
2024
2025
2026
Date

## 4. Positive Catalysts

- Strong revenue growth of 15.7% indicates robust demand and market expansion potential.
- Operating margin of 35.4% shows operational efficiency and scale benefits.
- Strong free cash flow generation of $98.8B provides flexibility for buybacks, dividends, or M&A.
- Large-cap status with $3891B market cap provides stability and institutional investor interest.
- Analyst consensus price target implies 11% upside from current levels.

## 5. Key Risks

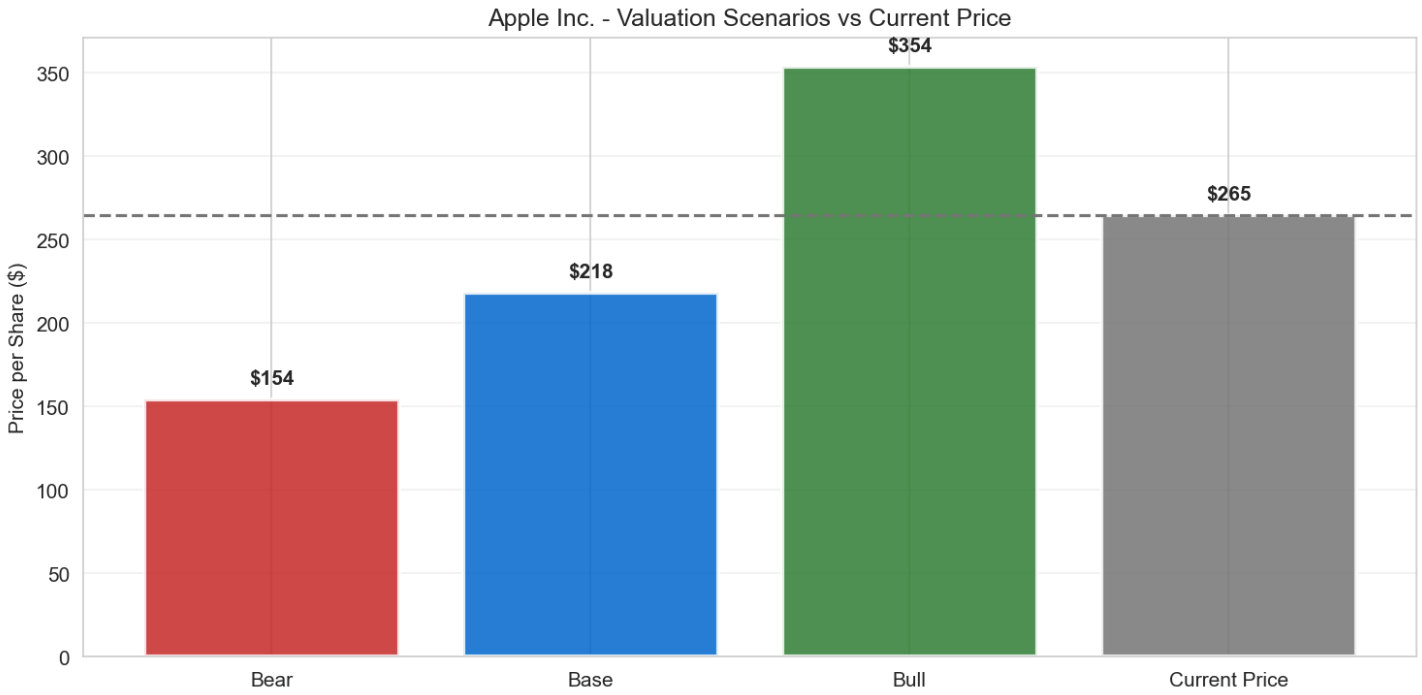
- High P/E ratio of 33.5x suggests premium valuation that may compress under market stress.
- Macroeconomic risks including recession, inflation, and interest rate changes could impact performance.
- Competitive pressures in the Consumer Electronics space may erode margins or market share.
- Regulatory scrutiny in the Technology sector could lead to compliance costs or operational restrictions.

## 6. Valuation Summary (DCF)

Current Price: $264.72

| Scenario | Rev Growth Y1 | WACC | TV Multiple | Gross Margin |
|---|---|---|---|---|
| Bear Case | 11.0% | 12.4% | 16x | 43.1% |
| Base Case | 15.7% | 10.4% | 19x | 45.1% |
| Bull Case | 20.4% | 9.4% | 21x | 47.1% |

Note: Detailed DCF calculations are available in the accompanying Excel model. The Excel model includes a sensitivity analysis table showing equity value per share across different WACC and Terminal Value Multiple assumptions.



## 7. Recent News

**Apple Introduces Low-Cost iPhone 17e, Upgraded iPad Air**

*Yahoo*

**Sector Update: Tech Stocks Rise Late Afternoon**

*Yahoo*

**War tensions fail to shake tech stocks**

*Yahoo*

**Apple Unveils iPhone 17e and M4-Powered iPad Air**

*Yahoo*

**Apple: Why Smart Money Holds At $271 (NASDAQ:AAPL) - Seeking Alpha**

*| 2026-*

**The BKLC ETF Charges 0% (Yes, 0) and Still Beat The S&P 500**

*Yahoo*

**Sector Update: Tech Stocks Rise Monday Afternoon**

*Yahoo*

**Stocks to Watch Monday: Norwegian Cruise Line, United Airlines, Lumentum, Elevance**

*Yahoo*

**Up 1,000%, Should You Buy Apple Right Now?**

*Yahoo*

**Why Did Alphabet Stock Drop Today?**

*Yahoo*

## Disclaimer

This report is generated automatically using publicly available data. It is intended for informational and educational purposes only and does not constitute investment advice. The projections and valuations presented are based on assumptions that may not reflect actual future performance. Always conduct your own research before making investment decisions.